Meridian Actuarial Advisors LLC

www.meridianactuarial.com

January 25, 2019

Barbara Hall
Chief Operating Officer
Estes Group

Dear Ms. Hall:

You asked us to find out whether the assumptions behind the Estes Group retirement plan still describe your workforce. We are glad to do that work. This letter sets out what the study will cover, how we will carry it out, who will do it, and the terms under which we will both work. We have tried to keep it plain. If a question about the engagement comes up later, this letter is where we will both look first.

What the study will cover

Every valuation of the plan rests on assumptions about people: when they retire, how many leave before they retire, how many become disabled, how long retirees live, and how quickly pay rises. An experience study sets those assumptions beside what actually happened to the plan's members over a recent period of years. Where the two differ, and we judge the difference likely to last, we will recommend a change.

The study will examine rates of retirement, termination of employment, disability, and death, and the rate of salary increase. We will settle the study period with you once we have seen which years of data are available. It needs to be long enough to give stable results and recent enough to reflect the plan as it operates now.

Some work falls outside this letter. We will not value the plan, review the investment return or inflation assumptions, or advise on plan design. If you would like any of that, we will propose it separately.

How we will reach our recommendations

We will keep two kinds of work apart from start to finish. The first is measurement. We count what happened in the data and compare it with what the current assumptions expected to happen. Anyone with the same data could repeat that part and get the same answer. The second is judgment. We decide whether a difference is

large enough, and steady enough, to justify a new assumption. One unusual year can move the counts a long way. When that happens we will say so, and we will not let that year set an assumption on its own.

The report will follow the same division. For each assumption it will show the observed experience, the rate we recommend, and our reasons. Where a recommendation rests more on judgment than on the data, the report will say that in so many words.

We will perform the work under the Actuarial Standards of Practice. Those that bear most directly on it are No. 23, Data Quality; No. 35, on demographic and other noneconomic assumptions for pension obligations; and No. 27, on economic assumptions, which governs the salary scale. Our report will also meet No. 41, Actuarial Communications.

The data we will rely on

Our results can be no better than the records behind them. We will rely on data and documents supplied by Estes Group. We will review them for consistency and reasonableness, and we will tell you what we find, but we will not audit them. To begin, we will need the following:

- 1. Participant census files for each year of the study period, covering active employees, former employees with deferred benefits, retirees, disabled members, and beneficiaries.
- 2. For each person who left active employment during the period, the date of departure and the reason, as your records show it.
- 3. Pay history for active employees over the same years.
- 4. The plan document, and any amendment adopted during the period that changed when members could retire or what they would receive.
- 5. The most recent actuarial valuation report, including its description of the current assumptions.

Please send the files in whatever form your systems already produce. Nobody on your staff should spend time reformatting them for us.

The team

I will lead the engagement and sign the report. David Sherman, Senior Analyst, will load the census files, link each member's records from one year to the next, and reconcile them to the valuation data. Jeffrey Ochoa, Actuarial Analyst, will build the experience tables and the comparisons of actual and expected results. Megan

Dudley, Actuarial Associate, will work with your staff on the data request, on missing records, and on any question about a file.

Day to day, you will hear most from Megan and David. If you have a concern about the work at any point, please raise it with me.

Start date and fee

We will begin work on February 4, 2019. We expect the study to take about four months from that date. How quickly the data arrive, and how many questions they raise, will decide most of that schedule.

Our fee for the study described in this letter is $65,000. The fee is fixed. It covers the data work, the analysis, a draft report, a meeting with you to go through the draft, and the final report.

Fees and payment

We will invoice the fee in installments: one when work begins, one when we deliver the draft report, and one when we deliver the final report. Invoices are payable within thirty days of receipt. If you ask us for work outside this letter, we will confirm it with you in writing first and bill it at our standard hourly rates.

Term and termination

This engagement runs from the start date above until we deliver the final report and answer your questions on it. Either of us may end it sooner by written notice to the other. If that happens, you will pay for the work done up to the date of the notice, and we will return or destroy your data as you direct.

Confidentiality

The census files will contain personal information about your employees, former employees, and their families. We will hold that information in confidence, keep it on secure systems, and use it only for this study. We will not disclose it outside our firm without your written consent unless the law requires us to.

Our report will be prepared for Estes Group and for the plan. You may give it to the plan's auditors and to any agency that oversees the plan. No one else may rely on it without our written consent.

Limitation of liability

We will carry out the work with the care and skill expected of a qualified actuary. We are not responsible for errors that come from data or information supplied to us. Our total liability for any claim arising from this engagement will not exceed the fees you have paid us under this letter.

Governing law

The laws of the state in which our principal office is located govern this letter. If a court finds any part of it unenforceable, the remaining terms still apply.

If this letter matches your understanding of the engagement, please sign below and return a copy to me. Once it is back, Megan Dudley will contact your office to arrange the first transfer of data.

Very truly yours,

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Robert Lawrence
Managing Actuary
Date: January 25, 2019

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Barbara Hall
Chief Operating Officer, Estes Group
Date: January 25, 2019